



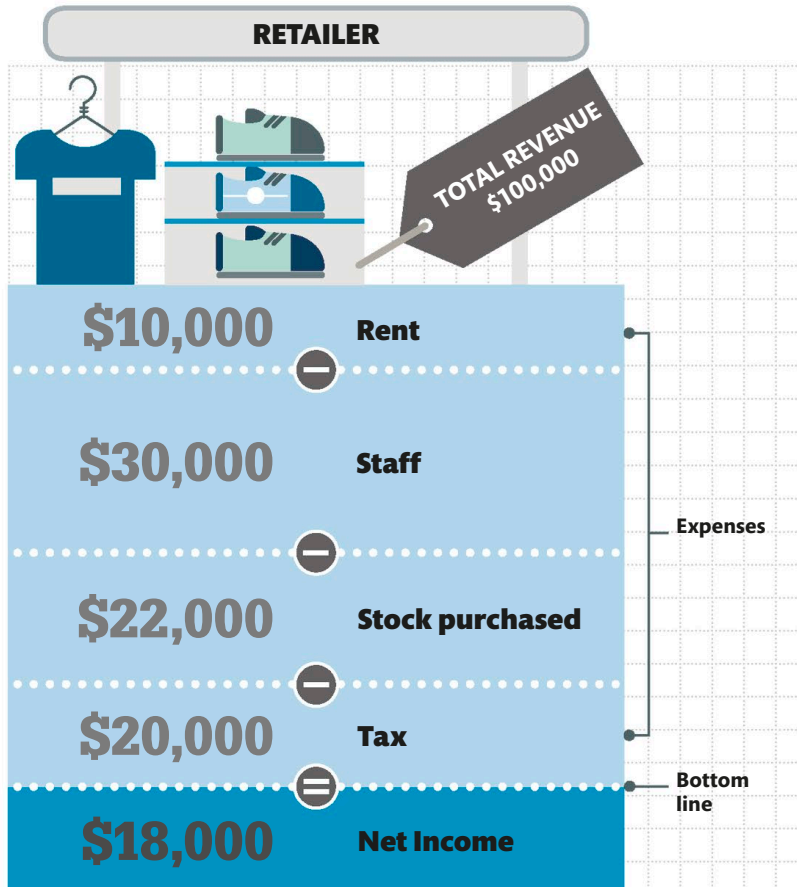
INFLATING EARNINGS

Some companies omit certain expenses from their calculations to make net income appear higher, while others inflate earnings to make profits appear higher, for example by including projected future earnings. This is at best unethical, and potentially illegal. In 2014, British grocery chain Tesco launched an investigation after discovering its first-half earnings estimate had been inflated by around \$407 million due to alleged accounting errors. So, while net income is an important indicator of a company's financial health, it should not be used as the only means of assessment.



\$18.4 billion

Apple's first quarter net income in 2016 – the highest quarterly profits in history



NEED TO KNOW

- **Bottom line** Refers to the bottom of the income statement, and is another expression for net income.
- **Earnings per share** Net income divided by the number of shares in issue; it is seen as an indicator of a company's profitability.
- **Expenses** The costs incurred in running a business that have to be settled immediately, rather than paid off gradually over a number of years.
- **Depreciation of assets** The decline in value of assets that the company has bought; this may be a plant for manufacturing processes, or specialty machinery.
- **Banking and interest charges** The cost of finance, including loans, debts, mortgages, and other amounts owing.